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Financial Strengths and Challenges of Newly Arriving Refugee Families

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Introduction

According to World Relief, Minnesota is home to some of the largest refugee populations in the United States. This study focuses on the Karen population, a minority ethnic group from Burma, and the Bhutanese population from Nepal. Upon their arrival, refugee families face a myriad of problems. They are left with the challenges of navigating a new economic system different from their own.

Significance of Study

Although there are many programs for refugee families, little is known about their financial practices. This exploratory study focuses on the financial strength and challenges refugee families face upon their arrival.

Literature Review

- Segal and Mayadas (2005) explained how immigrants move to another country out of there own volition while refugees are forced out of their homes.
- Caroll, Rhee and Rhee (1999), found that the saving patterns of immigrants are different from their country of origin.
- Conner (2010) reports that refugees are more likely to have less English language ability, less educational experiences, poorer mental and physical health, and live in more disadvantage neighborhoods when compared to immigrants.
- According to Yao (2010), race and ethnicity are an inaccurate determinant for the financial well-being of people.

Retrieved from:
http://www.theatlantic.com/international/archive/2013/04/bhutanese-refugees-are-killing-themselves-at-an-astonishing-rate/274959/

Picture retrieved from:
http://www.intellasia.net/en/wp-content/uploads/2011/06/burma.karen-refugees2-090609ap.jpg

Retrieved from:
http://www.energytribune.com/63096/china-continues-pursuing-myanmar-energy-projects-despite-human-rights-concern#sthash.GXExOrUr.dpbs

Methods

- An ethnographic approach using semi-structured interviews with key informants was used.
- Six key informants were interviewed: five females and one male informant. They worked for Twin Cities-based non-profit organizations that predominately worked with Bhutanese and Karen refugee families in the Twin Cities.
- Informants were asked to identify three to five challenges refugee families face upon their arrival to Minnesota.
- Interviews were conducted by at least two members of the research team and were audio-recorded. They were later transcribed verbatim within a week of the interview.
- The research team of five met to discuss identified themes and interpretation of the results.

Strengths & Challenges	Results
Language	• Affects how well families adapt to their new lives; • Is a barrier to many resources such as: housing, employment, etc.; • Employment choices were determined by English language ability; • Children experience role reversal when serving in interpreter for the family.
Housing	• Lack of adequate and affordable housing to meet refugee needs; • Families prefer housing close to their cultural communities but due to cost barriers, may live away from community and are, therefore, isolated.
Employment	• Many males sought employment that required minimal language skills; • Lack of job availability caused many families to migrate to other states; • Father's worked in rural areas and would visit home on weekends.
Financial Practices	• Families struggled with budgeting government assistance funds • Rather than focusing on establishing a firm economic base in their new home, many families were sending remittances to relatives • Families participated in a financial literacy course which were taught in English, thus struggled to retain what they have learned.
Community Cohesiveness	• Families moved to different states to be close to their cultural community because they share resources and are interdependent; • A lot of resources are passed by "word-of-mouth" from trusted community members, such as which organization to work with when seeking help with housing, jobs, transportation and government assistance.

Discussion

- Language, housing, employment, and financial practices are interconnected.
- Language affects how well families adjusted to their new lives. It also affected the family system when children served as the interpreters for their parents.
- Many orientation classes such as the financial literacy were taught in English, making it harder for them to learn and retain this information.
- The limited language ability of these refugees affected the kinds of employment sought, often changing the housing situation for these families. Some refugee families are beginning to migrate to other states and cities that have more manual labor jobs.
- Close-knit communities often affected the choices each family makes from talking about financial practices or finding employment. Community kinship is responsible for the overall wellbeing and transition of these families.

Limitations

- Data were gathered from a small sample of key informants who were willing to share their ideas about families with whom they worked.
- Key informants used in this study worked primarily with the Karen and Bhutanese communities living in the metropolitan area of Minnesota.
- Due to the small number of interviews, the limited communities represented, and the uniqueness of the sample, results cannot be generalized to other refugee families outside of the Twin Cities.
- Time was also a factor in this study; more time would have allowed additional interviews to take place.

References

Carroll, C. D., Rhee, B. K., & Rhee, C. (1999). Does cultural origin affect saving behavior? Evidence from immigrants. *Economic Development and Cultural Change, 48*(1), 33-50.

Connor, P. (2010). Explaining the refugee gap: Economic outcomes of refugees versus other immigrants. *Journal of Refugee Studies, 23*(3), 377-397. doi:10.1093/jrs/feq025

Yao, R.(2008). Financial issues of Asian Americans. In JJ Xiao (Ed.) Handbook of consumer finance research (pp.303-316). NY, NY: Springer.